

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-14

AIRBOSS DEFENSE GROUP, LLC, COMPLAINANT,

v.

FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC.,
MSC MEDITERRANEAN SHIPPING COMPANY S.A. and MEDITERRANEAN SHIPPING
COMPANY (USA) INC., as agent for Mediterranean Shipping Company S.A.,
and TOTAL TERMINALS INTERNATIONAL, LLC,
RESPONDENTS.

NOTICE OF FEDERAL DISTRICT COURT DECISION

Attached hereto for the information of the Presiding Officer is a copy of the October 2, 2024, Order of Judge Griggsby of the U.S. District Court for the District of Maryland, denying the motion of Airboss Defense Group, LLC to stay the District Court proceedings pending a ruling in the instant proceeding.

Respectfully submitted,

By: /s/ Wayne Rohde
Wayne Rohde, Esq
mailto:wrohde@cozen.com
Cozen O'Connor
1200 19th Street, NW
Washington, DC 20036
(202) 463-2507

By: /s/ Vincent DeOrchis
Vincent M. DeOrchis
Kaspar Kielland
vdeorchis@mmwr.com
kkielland@mmwr.com
Montgomery McCracken Walker &
Rhoads LLP
437 Madison Avenue
New York, NY 10022
(212) 551-7730

Co-Counsel for Respondents
MSC Mediterranean Shipping Company
S.A. and Mediterranean Shipping
Company (USA) Inc., as agent for MSC

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing Notice to the parties to this proceeding via email transmission on this 8th day of October, 2024.

Cameron W. Roberts (cwr@tradeandcargo.com)
Andrew D. Kehagiaras (adk@tradeandcargo.com)
Counsel for AirBoss Defense Group, LLC

Vincent M. DeOrchis (vdeorchis@mmwr.com)
Kaspar Kielland (kkielland@mmwr.com)
Co-Counsel for Mediterranean Shipping Company S.A. and
Mediterranean Shipping Company (USA) Inc., as agent for
Mediterranean Shipping Company S.A.

David K. Monroe (dmonroe@gkglaw.com)
Rachel E. Amster (ramster@gkglaw.com)
Counsel for FedEx Trade Networks
Transport & Brokerage, Inc

**IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF MARYLAND**

76, 78 (22-cv-1313-LKG); ECF Nos. 41, 46, 47 and 57 (23-cv-2232-LKG). No hearing is necessary to resolve the motion. *See* L.R. 106.5 (D. Md. 2023). For the reasons that follow, the Court **DENIES** ADG's motion to stay.

Factual And Procedural Background

These related cases involve claims and counterclaims arising from certain agreements by and among FedEx Trade Networks Transport & Brokerage, Inc. ("FTN"), ADG, McWilliams Collective, LLC and its sole member, Defendant Eric L. McWilliams (collectively, "McWilliams Collective"), and Mediterranean Shipping Company ("MSC"), related to certain shipments of nitrile rubber gloves intended to be sent to the United States during the coronavirus pandemic ECF Nos. 1 and 10 (22-cv-1313-LKG); ECF No. 15 (22-cv-1253-LKG); ECF Nos. 1 and 18 (23-cv-2232-LKG).

In the consolidated case, FTN asserts claims against ADG arising from certain shipments of nitrile rubber gloves for: (1) breach of contract; (2) account stated; (3) quantum meruit/unjust enrichment; and (4) declaratory judgment. ECF No. 1 (22-cv-1313-LKG). Specifically, FTN alleges that ADG breached its contractual obligations under the parties' agreement and is, therefore, liable to FTN for certain costs related to the shipments. *See generally id.* In a third-party complaint filed in that case, ADG also asserts claims against McWilliams Collective for: (1) express indemnification; (2) equitable indemnification; and (3) contribution. ECF No. 10 (22-cv-1313-LKG).

In the second case, FTN asserts claims against ADG arising from a settlement agreement between the parties regarding the shipments of nitrile rubber gloves for: (1) partial breach of contract and (2) declaratory judgment. ECF No. 1 (23-cv-2232-LKG). In that case, FTN alleges that ADG breached the parties' settlement agreement by failing to satisfy its financial obligation under that agreement. *See generally id.*; *see also* ECF No. 46 at 5 (23-cv-2232-LKG). ADG also asserts the following claims against MSC in a third-party complaint in that case: (1) breach of contract; (2) express indemnification for breach of the duty to defend; (3) express indemnification for breach of the duty to indemnify; (4) equitable indemnification; and (5) contribution. ECF No. 18 (23-cv-2232-LKG).

Lastly, MSC asserts counterclaims against ADG in the second case for: (1) declaratory judgment and (2) unjust enrichment. ECF No. 56 at 26-27 (23-cv-2232-LKG). As relief, FTN

seeks to recover monetary damages and to obtain certain declaratory relief in these cases. ECF No. 1 (22-cv-1313-LKG); ECF No. 1 (23-cv-2232-LKG).

On March 20, 2024, ADG filed a complaint with the Federal Maritime Commission (“the FMC Complaint”), alleging that FTN, MSC, and a terminal operator (“TTI”) violated certain provisions of the Shipping Act. *See* ECF No. 75-1 at 9-10 (22-cv-1313-LKG); ECF No. 41-1 at 9-10 (23-cv-2232-LKG). In the FMC Proceeding, ADG seeks a declaratory judgment that it has no duty to pay certain charges to, among others, FTN and MSC, pursuant to the Shipping Act, 46 U.S.C. § 41102, and that it is entitled to reparations for damages flowing from alleged unlawful conduct of, among others, FTN and MSC. *Id.*

The parties anticipate that the administrative law judge’s initial decision in the FMC Proceeding will be issued by March 20, 2025, and that a final decision from the FMC will be issued by October 6, 2025. *See* ECF No. 75-1 at 10 (22-cv-1313-LKG); ECF No. 41-1 at 10 (23-cv-2232-LKG). And so, ADG seeks to stay these matters, pending the resolution of the FMC Proceeding. ECF No. 75-1 at 10, 20 (22-cv-1313-LKG); ECF No. 41-1 at 10, 20 (23-cv-2232-LKG)

Standards Of Decision

A. Motions To Stay And The Primary Jurisdiction Doctrine

This Court has held that “[t]he power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants.” *Donnelly v. Branch Banking & Tr. Co.*, 971 F. Supp. 2d 495, 501 (D. Md. 2013) (internal citation omitted); *see also Clinton v. Jones*, 520 U.S. 681, 706 (1997) (“The District Court has broad discretion to stay proceedings as an incident to its power to control its docket.”). And so, this Court considers the following factors when determining whether to stay proceedings: (1) “the length of the requested stay[;]” (2) “the hardship that the movant would face if the motion were denied[;]” (3) “the burden a stay would impose on the nonmovant[;]” and (4) “whether the stay would promote judicial economy by avoiding duplicative litigation.” *Donnelly*, 971 F. Supp. 2d at 501-02.

The primary jurisdiction doctrine allows the Court to “stay[] further proceedings so as to give the parties reasonable opportunity to seek an administrative ruling” where “claims properly cognizable in court ... contain some issue within the special competence of an administrative

agency.” *Reiter v. Cooper*, 507 U.S. 258, 268 (1993). And so, “the doctrine is designed to coordinate administrative and judicial decision-making by taking advantage of agency expertise and referring issues of fact not within the conventional experience of judges or cases which require the exercise of administrative discretion.” *Eric B. Fromer Chiropractic, Inc. v. Inovalon Holdings, Inc.*, 329 F. Supp. 3d 146, 154 (D. Md. 2018) (quoting *Envtl. Tech. Council v. Sierra Club*, 98 F.3d 774, 789 (4th Cir. 1996)). While “[n]o fixed formula exists for applying the doctrine of primary jurisdiction,” courts typically consider the following factors when deciding whether to apply the doctrine: “(1) whether the question at issue is within the conventional experience of judges or it is within the agency’s particular field of expertise; (2) whether the question at issue is particularly within the agency’s discretion; (3) whether there exists a substantial danger of inconsistent rulings; and (4) whether a prior application to the agency has been made.” *United States v. W. Pac. R. Co.*, 352 U.S. 59, 64 (1956); *Eric B. Fromer Chiropractic, Inc.*, 329 F. Supp. 3d at 155.

Analysis

In its motion to stay, ADG requests that the Court stay these matters pending the resolution of the FMC Proceeding, because: (1) the primary jurisdiction doctrine “squarely applies” in these matters and (2) the stay factors that Courts traditionally consider also favor a stay of the litigation. *See* ECF No. 75-1 at 10, 20 (22-cv-1313-LKG); ECF No. 41-1 at 10-20 (23-cv-2232-LKG). FTN and MSC oppose a stay of these cases and counter that a stay is not appropriate, because: (1) ADG has not established that the FMC has jurisdiction over the questions presented in these cases and (2) FTN and MSC be prejudiced if the matters are stayed. *See* ECF No. 76 at 10-14 (22-cv-1313-LKG); ECF No. 46 at 10-14; ECF No. 47 at 13-23 (23-cv-2232-LKG). And so, they request that the Court deny ADG’s motion to stay. ECF No. 76 at 14 (22-cv-1313-LKG); ECF No. 46 at 14; ECF No. 47 at 23 (23-cv-2232-LKG).

For the reasons stated below, ADG has neither shown that the primary jurisdiction doctrine is applicable to these matters, nor that the stay factors weigh in favor of staying the cases. And so, the Court DENIES ADG’s motion to stay.

As an initial matter, ADG has not shown that the primary jurisdiction doctrine is applicable to these cases. In deciding whether to apply the primary jurisdiction doctrine to the cases at issue, the Court considers: “(1) whether the question at issue is within the conventional

experience of judges or it is within the agency's particular field of expertise; (2) whether the question at issue is particularly within the agency's discretion; (3) whether there exists a substantial danger of inconsistent rulings; and (4) whether a prior application to the agency has been made[;]" when deciding whether to apply the doctrine. *United States v. W. Pac. R. Co.*, 352 U.S. 59, 64 (1956); *Eric B. Fromer Chiropractic, Inc. v. Inovalon Holdings, Inc.*, 329 F. Supp. 3d 146, 155 (D. Md. 2018). Here, the complaints in the above-captioned matters make clear that the parties are litigating breach of contract claims and counter claims related to the shipment of nitrile rubber gloves to the United States and the settlement agreement reached between FTN and ADG. *See* ECF No. 1 (No. 22-cv-1313-LKG); ECF No. 1 (23-cv-2232-LKG). Such breach of contract claims and counterclaims fall well within the purview of this Court and do not require any agency insight or expertise to resolve. *See, e.g. AT&T Corp. v. Nudell*, 2008 WL 2986776, at *7 (D. Md. July 30, 2008) ("However, as previously discussed, this case involves claims fully within the purview of this Court, such as common law breach of contract, fraud, and unjust enrichment."). Given this, ADG has not shown that the FMC's expertise is needed to resolve the parties' claims and counterclaims, or that the Court would need to make any findings in these cases that might conflict with the FMC Proceeding. And so, the primary jurisdiction doctrine does not apply to these matters.

The stay factors that the Court considers in resolving ADG's motion to stay also weigh against staying these matters, because doing so would significantly and unduly delay the resolution of these matters to the prejudice of FTN and MSC. When determining whether to stay proceedings, the Court considers: (1) "the length of the requested stay[;]" (2) "the hardship that the movant would face if the motion were denied[;]" (3) "the burden a stay would impose on the nonmovant[;]" and (4) "whether the stay would promote judicial economy by avoiding duplicative litigation." *Donnelly*, 971 F. Supp. 2d at 501-02. In these matters, ADG requests that the Court stay the litigation, "pending the resolution of the Federal Maritime Commission proceedings—for which the FMC will issue a final order on October 6, 2025." ECF No. 75-1 at 20 (22-cv-1313-LKG); ECF No. 41-1 at 20 (23-cv-2232-LKG). Granting this relief, would result in a stay of these cases for one year. The Court also observes that FTN and MSC argue that the timing of the FMC's final decision in the FMC Proceeding could extend beyond October 6, 2025, thereby further delaying the resolution of these cases pending before the Court. *See* ECF No. 76 at 12 (22-cv-1313-LKG); ECF No. 46 at 12; ECF No. 47 at 22 (23-cv-2232-LKG).

As FTN and MSC persuasively argue, such a significant delay of these cases would impose substantial burdens on FTN and MSC and delay the discovery needed to resolve these cases. *See* ECF No. 76 at 13 (22-cv-1313-LKG); ECF No. 46 at 13; ECF No. 47 at 23 (23-cv-2232-LKG). Such hardship, along with the Court's view that a stay would not promote judicial economy by avoiding duplicative litigation, cautions against staying these matters for the reasons sought by ADG. And so, for these reasons, the Court declines to stay these cases pending the resolution of the FMC Proceeding.

Conclusion

For the foregoing reasons, the Court **DENIES** ADG's motion to stay.

The parties shall **MEET-AND-CONFER** and **FILE** joint status reports, stating their respective views on how these matters should proceed, on or before **October 16, 2024**.

IT IS SO ORDERED.

s/ Lydia Kay Griggsby _____
LYDIA KAY GRIGGSBY
United States District Judge